

Cal.App.4th at 940-941.) A case involving design immunity does not function as a typical summary judgment case would because the court does not provide a de novo interpretation of the design. (*Id.* at 21, citing *Ramirez v. City of Redondo Beach* (1987) 192 Cal.App.3d 515, 525–526.) The Court is simply tasked with finding “any substantial evidence,” which may consist of (1) discretionary approval of the design plans themselves, (2) expert opinion of a civil engineer as to the reasonableness of the design, or (3) evidence the design complies with prevailing professional standards. (*Menges, supra*, 59 Cal.App.5th at 21, citations omitted.) Here, all three types of evidence have been presented by the City. (See, e.g., Declaration of Christian Engelmann, ¶135.) This qualifies as substantial evidence.

The City of Richmond has established the applicability of design immunity. Plaintiff and Badell, on the other hand, have not raised material disputes of fact sufficient to deny summary judgment here. While Badell cites *Insalaco v. Hope Lutheran Church of West Contra Costa County* (2020) 49 Cal.App.5th 506 for the rule that inclusion in the separate statement concedes materiality, this does not deprive the Court of its role to determine which ultimate facts are at issue and material to the outcome. The “disputes” raised, in light of the Court’s above rulings on the objections, are either immaterial or not true disputes.

C. Issue No. 3 - Immunity for Failure to Provide Traffic Signs, Signals, or Markings (Government Code §§ 830.4 and 830.8)

The third basis on which the motion is made, immunity pursuant to Government Code sections 830.4 and 830.8, also applies. Government Code, section 830.4 states that a condition is not a dangerous condition “merely because of the failure to provide regulatory traffic control signals, stop signs, yield right-of-way signs, or speed restriction signs [...]” Government Code, § 830.8 states the immunity: “[n]either a public entity nor a public employee is liable under this chapter for an injury caused by the failure to provide traffic or warning signals, signs, markings or devices described in the Vehicle Code.” While the section excepts certain liabilities that might arise, the ones identified in Government Code section 830.4 are not subject to the exception. The only sign plaintiff or Badell contend should have been placed is a yield to bicycles sign. The issue is insufficient to create a dangerous condition, as set forth in Government Code, § 830.4. Immunity would therefore apply. Further, to the extent any exception to Government Code, § 830.8 could be relevant, any reasonable juror would conclude that, so long as a parked row of cars was blocking view of another lane of traffic (whether a bike lane or car lane), the need to observe any parallel traffic would be reasonably apparent to a person exercising due care while approaching a driveway.

The motion for summary judgment must be granted.

7. 9:00 AM CASE NUMBER: C23-03148

CASE NAME: ERICA LEONARDO VS. DIANA ORMAN

HEARING ON SUMMARY MOTION

FILED BY: BANK OF AMERICA, N.A.

TENTATIVE RULING:

Cross-Defendant Bank of America’s motion for summary judgment is denied. The motion for summary adjudication is granted as to attorney fees and otherwise denied.

Cross-Complainant Diana Orman is the personal representative of Philip Blair’s estate and Blair’s daughter. Erica Leonardo sued Orman alleging that she had an agreement with Blair (her

grandfather) where she would care for Blair and when he passed away she would receive his house located in Bay Point. Orman filed a cross-complaint against Leonardo and Bank of America suing for the bank for negligence and Leonardo for fraud and conversion.

Bank of America requests summary judgment on the negligence cause of action. Bank of America also requests summary adjudication on several issues within the negligence cause of action. Finally, Bank of America requests summary adjudication that Orman is not entitled to attorney's fees.

As to Bank of America, Orman alleges that she told Bank of America several times to hold the funds in Blair's bank accounts because he had passed away and they were working on probating the estate. After being told, Bank of America improperly gave \$106,628.72 in Blair's bank account to Leonardo instead of holding it for Blair's estate. Bank of America argues that they gave the money to Leonardo because she provided a Probate Code section 13100 form.

With a few exceptions, the facts here are not in dispute. Philip Blair passed away on January 3, 2023. (Undisputed Fact 1, Cross-comp. ¶7.) Blair had two accounts with Bank of America totaling \$106,628.72. When he opened his accounts, Blair agreed to be bound by certain terms, including the Deposit Agreement. (Undisputed Facts 3-5, Jordan dec. ¶5 and ex. A.) The version in effect when Blair died was dated November 22, 2022. (Undisputed Fact 6; Jordan Dec. ¶6 and ex. B.)

On June 16, 2023, Leonardo submitted a signed Affidavit for Collection of Personal Property to Bank of America pursuant to Probate code section 13100. (Undisputed Fact 7, Jordan Dec. ¶7 and ex. C.) The affidavit was accompanied by a copy of Blair's death certificate and Leonardo's government-issued identification. (Jordan Dec. ¶9.) Orman declares that this version of the death certificate did not have Blair's correct social security number. (Orman dec. ¶12.) After reviewing Leonardo's documents, Bank of America issued checks to Leonardo on June 29, 2023 for the total balance in Blair's accounts. (Undisputed Fact 10, Jordan Dec. ¶10.)

Bank of America did not receive any written communications from Orman asserting a claim to Blair's accounts until August 25, 2023. (Undisputed Fact 12, Jordan dec. ¶12 and ex. D.) Orman provides evidence that she gave Bank of America oral notice of the claim twice and they never requested anything in writing. (Orman dec. ¶¶4, 10, 11.)

Bank of America states that they acted in good faith and in accordance with its standard policies and procedures for processing small estate affidavits under California Law. (Fact 14, Jordan Dec. ¶14.) Orman disputes this fact because they received oral notices of Orman's handling of the estate. (Orman dec. ¶¶5-13.)

Plaintiff relies on transcripts and audio recordings of Orman's calls with Bank of America. The Court did not rely on these for this motion. First, Bank of America states in reply that they did not receive a copy of these calls and there is no proof of service showing that Bank of America was served with these documents and audio files. In addition, these calls were provided to the Court, but the rules for filing sealed documents was not followed. (See California Rules of Court, rule 2.551.) Since these calls have not been filed with the Court and the procedures for lodging documents under seal was not followed, they cannot be considered when deciding this motion. That being said, these calls were

provided to the Court and all parties should have been served with copies. Orman is therefore ordered to provide copies of the transcripts and audio recordings to all parties within 5 Court days or otherwise confirm that all parties have now received copies.

Bank of America argues that they are not liable because (1) they are immune under Probate Code section 13106, (2) they do not owe a duty to Orman, and (3) the claim is barred by the economic loss rule.

Probate Code

Bank of America argues that it is not liable based upon Probate Code section 13106(a). Probate Code section 13106(a) states that “If the requirements of Sections 13100 to 13104, inclusive, are satisfied, receipt by the holder of the decedent’s property of the affidavit or declaration constitutes sufficient acquittance for the payment of money, delivery of property, or changing registered ownership of property pursuant to this chapter and discharges the holder from any further liability with respect to the money or property. The holder *may rely in good faith on the statements in the affidavit or declaration and has no duty to inquire into the truth of any statement in the affidavit or declaration.*” (emphasis added.)

In *Mautner v. Peralta* (1989) 215 Cal. App. 3d 796, a bank received written notice of a claim by the California Veterans Home, which correctly claimed a right to decedent’s bank account under California’s Military and Veterans Code. The bank later distributed the funds to a beneficiary of decedent’s will after the beneficiary submitted an affidavit under Probate Code section 630 (now section 13100). The Veterans Home sued the bank and the bank claimed it was immune under Probate Code section 631 (now section 13106).

The Court explained that the immunity in 631 (now 13106) makes sense where there is a single affidavit and no reason to doubt its averments, however, “the procedures are silent on how to proceed in the face of competing claims. [¶] The situation changes dramatically when the holder has actual notice of a superior claim.” (*Id.* at 805.) “Notice destroyed any reliance [the bank] reasonably could place on the affidavit, and the purpose of the section 631 immunity is no longer served.” (*Id.* at 806.) The court held that the immunity in section 631 is “inapplicable where the holder has actual notice of a statutory heir’s superior claim and a request to ‘hold’ distribution of decedent’s funds *prior to* receiving a ‘630’ affidavit from an alleged legatee.” (*Id.* at 806.)

Bank of America’s reliance on *Di Angelo v. Wells Fargo Bank, N.A.* (5th Cir. 2016) 820 F.3d 806 is misplaced. *Di Angelo* distinguished *Mautner* because in *Di Angelo*, the daughter had attempted to obtain bank funds belonging to her deceased father, which the bank ultimately gave to the father’s wife after a Probate Cod section 13100 affidavit. *Di Angelo* found that at best the daughter had a partial right to the father’s assets and thus, it was not clear that she had a right to the father’s bank account. (*Id.* at 809.) *Di Angelo*’s attempts to distinguish *Mautner* is not persuasive and *Di Angelo* is a federal court opinion and not binding on this Court.

Further, even if the Court accepts the way *Di Angelo* distinguished its case from *Mautner*, the case here is more like *Mautner* than *Di Angelo*. Here, like in *Maunter*, Orman had the superior

statutory claim since under intestate succession, Blair's daughter would have superior rights to his estate over his granddaughter. (Probate Code section 6402.)

Bank of America also cites to an unpublished case, *Estate of Traver v. Bank of Am., N.T. & S.A.*, No. F033428, 2000 WL 34229663 (Cal. Ct. App. Jan. 19, 2000). That opinion is not available on Lexis Nexis nor could the court locate a copy of the opinion on the docket for the Fifth Circuit. Further, unpublished opinions are not to be relied on. (California Rules of Court, rule 8.1115.)

Here the evidence shows that Orman gave oral notice to Bank of America twice that she was Blair's daughter and some of his grandchildren might try to make a claim on Blair's accounts. These facts show actual notice of a superior statutory claim to Bank of America and following *Mautner*, there is a triable issue of material fact as to whether Bank of America had actual notice of Orman's claims and thus, cannot show immunity under section 13106.

The motion for summary adjudication on the affirmative defense based on Probate Code section 13106 is denied.

Duty

Bank of America argues that it owed no duty to Orman. They rely on *Kurtz-Ahlers, LLC v. Bank of Am., N.A.* (2020) 48 Cal.App.5th 952 and several other cases to show that a bank has limited duties under its deposit agreement. Bank of America, however, has not cited a case similar to the situation here that holds there is no duty. In contrast, *Mautner* held that the plaintiff had sufficiently alleged a duty by the bank "to act with reasonable care in its transactions with depositors including, in the case of a deceased depositor, with decedent's estate." (*Mautner, supra*, 215 Cal.App.3d at 807.)

The Court finds that there is a triable issue on duty here. The motion for summary adjudication on the issue of duty is denied.

Economic Loss Rule

Bank of America also argues that the negligence claim is barred by the economic loss rule. Orman argues that the economic loss rule does not apply because Orman had a special relationship with Bank of America.

Most of the cases cited by Bank of America for the rule that there can be no recovery for economic losses absent some physical injury are product liability cases and "economic loss" usually relates to "damage that occurs through loss of value or use of the goods sold or the cost of repair together with consequential lost profits." (*San Francisco Unified School Dist. v. W.R. Grace & Co.* (1995) 37 Cal.App.4th 1318, 1327, fn. 5.) Further, the citation to *Sheen* for the proposition that "liability in negligence for purely economic losses ... is 'the exception, not the rule'" was made in the context of a discussion on duty. (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 922, 920.) *Maunter* has found that there is a duty here and thus, the general rule that you cannot recover in tort for purely economic damages does not apply.

There is also a discussion on economic loss rule as it relates to contracts. "The rule itself is

deceptively easy to state: In general, there is no recovery in tort for *negligently* inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.’ (*Sheen [v. Wells Fargo Bank, N.A.]* (2022)) 12 Cal.5th at p. 922, italics added.) Or, as *Robinson* phrased the rule: ‘[t]he economic loss rule requires a [contractual party] to recover in contract for purely economic loss due to disappointed expectations, unless [the party] can demonstrate harm above and beyond a broken contractual promise.’ (*Robinson [Helicopter Co. Inc. v. Dana Corp.]* (2004)) 34 Cal.4th at p. 988.)” (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 20.)

Thus, “tort recovery for breach of a contract duty is generally barred... unless two conditions are satisfied. A plaintiff must first demonstrate the defendant’s injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant’s conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed.” (*Rattagan, supra*, 17 Cal.5th at 20-21.)

“The court has also recognized a breach of contract may sound in tort even when the claim arises from, and is not independent of, the underlying contract if it is within the context of a ‘special relationship,” such as between an insurance company and an insured during the claim handling process, or between a lawyer and a client for malpractice in the provision of professional legal services. [Citations.]” (*Id.* at 23.)

Here, Bank of America argues that decedent’s relationship with it is purely contractual in nature and there is no physical injury alleged. Bank of America argues that relationship between a bank and a depositor is “founded on contract.” (*Chazen v. Centennial Bank* (1998) 61 Cal.App.4th 532, 537.) They argue that Blair was bound by the Bank’s Deposit Agreement and Disclosures. Bank of America includes a fifty-page contract without explaining what terms, if any, address how Bank of America agreed to handle an account after the account holder passed away. (Jordan dec. ex. B.) Bank of America has not shown that the claim here arises from Blair’s contract with Bank of America and therefore has not shown that the economic loss rule applies here.

Since Bank of America has not met its initial burden on showing that the negligence claim arises from Blair’s contract with the bank, the Court need not consider whether Orman had a special relationship with Bank of America.

The motion for summary adjudication on the economic loss rule affirmative defense is denied. Having found that the three issues for summary adjudication fail, the Court finds that the motion for summary judgment also fails.

Attorney Fees

Bank of America argues that normally fees are not allowed in tort cases and no statute authorizes fees here. Orman has not provided a basis for fees. The motion for summary adjudication as to attorney fees is granted.